

London Petro Academy Ltd

Power Project Contracts, Finance, Risk & Negotiation

Structuring bankable power project contracts, allocating risk,
and negotiating robust deals with IPPs, utilities and lenders.



LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future

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Website: www.londonpetroacademy.co.uk

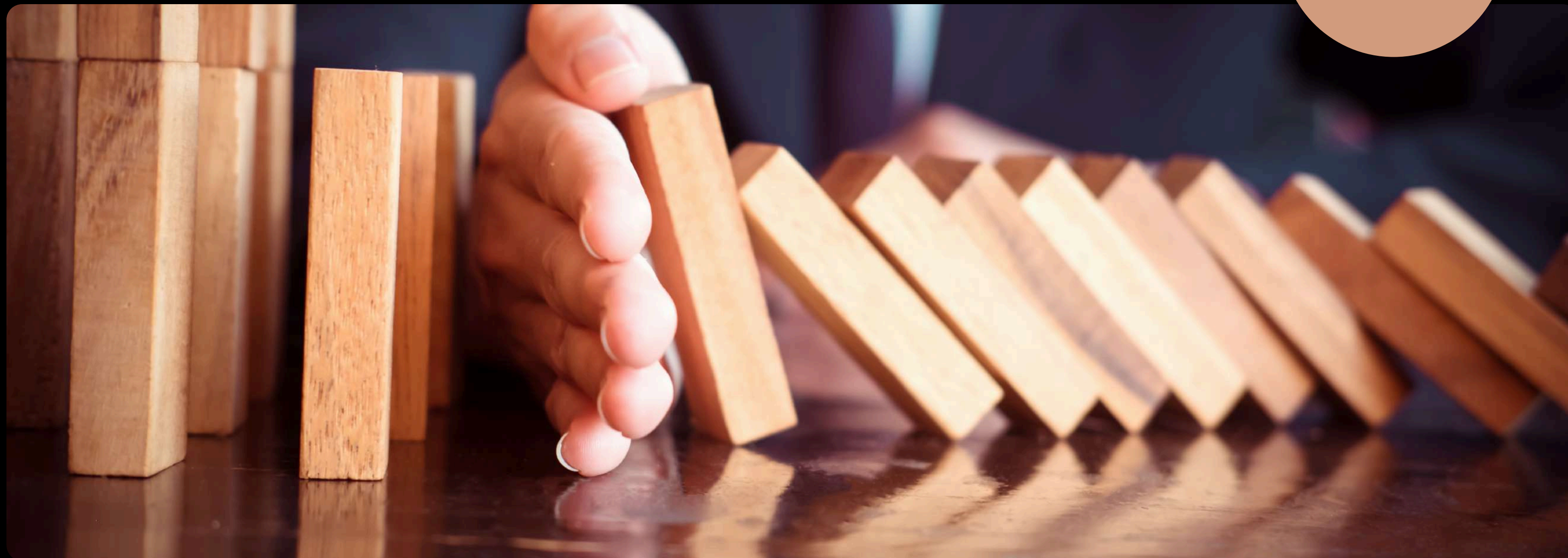
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A man in a dark suit is shown from the chest down, holding a pen and splashing a white liquid (likely milk or cream) over a stack of papers. The liquid is captured mid-air, creating a dynamic, splashing effect. The background is blurred, showing other people in a meeting setting. There are two decorative circles: a small grey one in the upper left and a large light green one in the upper right.

Course Overview

This hands-on course on Power Project Contracts, Finance, Risk & Negotiation provides a holistic view of how independent power projects are structured, financed and de-risked through a web of interlocking contracts. It starts from the electricity market context (competitive vs single-buyer markets, reforms and tendering frameworks) and then navigates the full suite of project agreements: implementation and government support, shareholder arrangements, loan term sheets and facility agreements, PPAs, EPC contracts, fuel supply and O&M. Using real-world contracts, group exercises and case studies, delegates analyse how these agreements interact, how risk is allocated across stakeholders and phases, and what lenders require for bankability. The course emphasises that there is no one-size-fits-all template; instead, it builds the skills to identify red flags, understand cross-contract triggers and negotiate sustainable, financeable deals in diverse country and market contexts.



COURSE OBJECTIVES

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By the end of this course, participants will understand the role of contracts in electricity markets and the core contract framework underpinning modern power projects. They will be able to explain the purpose and key provisions of PPAs, EPC, fuel supply and O&M agreements, as well as implementation, government support and shareholder contracts, and see how each influences project risk and financeability. Attendees will learn practical techniques for risk identification, assessment and allocation across development, construction, start-up and operations, and how to reflect this in term sheets, security packages and credit-enhancement instruments. They will gain familiarity with common issues in negotiating with state-owned off-takers and other counterparties, and develop skills to spot problematic clauses, manage cross-default and step-in rights, and structure bankable solutions. Participants will also practise negotiation strategies through role plays, focusing on defining objectives, managing stakeholder interests and reaching win-win agreements that stand up to lender scrutiny and long-term operational realities.

Course audience

This course is designed for professionals involved in developing, financing, contracting or regulating power projects who need a clear, integrated understanding of project contracts, risk and bankability. It is particularly relevant for project developers and sponsors, OEMs, EPC contractors and O&M service providers, IPPs, utilities and grid operators, and corporate procurement and contract managers on the buyer side. Private equity and institutional investors, development finance institutions, commercial lenders, and legal, technical and insurance advisors will benefit from the detailed treatment of risk allocation, credit support and cross-contract linkages. Government officials, regulators, and executives from oil and gas upstream, petrochemical and process industries who engage with IPP frameworks and power off-take arrangements will also find the course valuable in shaping tender design, negotiation strategy and long-term policy or investment decisions.





Context of the power project within the electricity market

- Overview of different electricity wholesale markets
- Competitive markets versus single buyer markets
- Unbundling and privatization under emerging market country conditions
- Electricity Trading, Contract for Differences, financial PPAs
- Wheeling Agreements and Transportation Agreements

GROUP DISCUSSION: Philippine Power Sector Reform

GROUP EXERCISES: Revision of due diligence checklist on country level

Implementation Agreement & Government Support

- Procuring power through a public and competitive tender process or unsolicited proposals
- Undertakings on duties and taxes
- Assistance in obtaining required consents
- Time frame and milestones
- Land Lease Agreements
- Compliance with domestic laws
- Government guarantees

GROUP EXERCISE: Revision of a public tender process and key elements of the implementation agreement

Shareholder Agreement

- Companies, applicable law and language
- Decision taking
- Election of governing bodies – management and control
- Transfer of shares and restrictions
- Disputes and dispute settlement

GROUP WORK: Revision of and understanding of the key areas to agree upon

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Loan term sheet agreement

Conditions Precedents – pre-requisites to the first drawdown
Covenants, Undertakings and the concept of Sources and Uses
Security documents – mortgages, pledges, assignments, charges and liens
Limited-recourse or stand-by equity and parent company guarantees
CASE STUDY: Introduction into a facility agreement and lenders requirements to all other agreements
GROUP EXERCISE: Development of a stakeholder matrix of a power project

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Power Purchase Agreement

- PPA Timing and Milestones
- Interface to Grid connection agreement and Implementation Agreement
- Definitions of achieved, declared, contracted and minimum capacities
- Declaration of Commercial Operation Date – an idea becomes reality
- Tariff Structures for fuel based and intermittent power generation technologies
- Credit enhancement instruments

CASE STUDY: Understanding the structure of a real PPA and their key elements

Engineering, Construction and Procurement contract

- Critical interface to fuel supply, PPA and grid connection construction milestones
- Delays and cost overruns for power projects
- Performance guarantees and bonds
- Liquidated Damages and Caps on liability
- Test on Completion and hand over

GROUP WORK: Revision of key provision of an FIDIC EPC turn-key contract

CASE STUDIES: Causes for delays and cost overruns in power projects

Fuel Supply Agreement

- Fuel supplier is also Offtaker, Sponsor or government entity
- Quality and quantity of the fuel
- Time of delivery and storage
- Safety and environmental issues
- Fuel transportation agreement

CASE STUDY: Periodic LNG delivery and minimum dispatch requirements for a power plant

Operation & Maintenance

Interface with EPC contractor and PPA and liability issues

Operator is also EPC or Sponsor

Availability, Planned Maintenance Outages and requested changes

Timing and Charges for Black, Cold, Warm and Hot start

Performance levels and performance guarantees

Key issues on spare parts, availability and reaction time

GROUP EXERCISE: Due Diligence Check list reviewing an O&M contract

Risk Identification & Allocation

- Risk phases: Development, Construction, Start-up and Operations & Maintenance
- Trigger Points: Concession signing, Financial Close, Commercial Operation Date, End of Loan
- Project risk assessment matrix and risk mitigation
- Stakeholders involved in the power project

GROUP WORK: Creating your own risk assessment matrix

Credit Enhancements Instruments

- Sovereign Guarantees for Payment Obligations of a State-Owned Offtaker
- Put and Call Option Agreement (PCOA) between host country and project shareholder
- Liquidity Letter of Credit and Escrow Accounts as short term liquidity facilities
- IMF Risk Analysis and Government Guarantees or other Sovereign Credit Support
- Partial Risk Guarantee and the requirements of an indemnity agreement
- Political Risk Insurance from MIGA, OPIC, ATI, EIB covering debt and equity providers
- Regional Liquidity Support and Guarantee Facilities
- Local currency lending and hedging from GuarantCo and TCX

Cross-Contractual legal provisions and triggers

- Dispute Resolution, Cure Periods and Arbitration
- Lenders Step-in Rights
- Political and Natural Force Majeure Events
- Changes of Law and Stabilization clauses
- Consequences of Force Majeure and Changes of Law
- Event of Defaults
- Termination rights

GROUP WORK: Comparison of the various project contracts and back-to-back issues

Negotiation Role Play

- Key negotiation techniques and counters to manipulative tactics
- Importance of preparation
- Define your must-obtain objectives and deal breakers
- Best Alternative to a Negotiated Agreement
- Conflict between the stakeholders – risk, margin, returns
- Difference between issues, positions and interests
- Win-win negotiations – understand the other side
- Don't over negotiate, the aim of a sustainable agreement
- The Satisfaction triangle – procedural, emotional, substantive
- Driving the process – criteria, timings, approvals

This course is available In-House and can be tailored to your specific requirements.



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Touchpoints

For more information, please contact us on:

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Alternatively, you can email us at info@londonpetroacademy.co.uk

Question about this course?

Call us on +44 (0) 1582 516247 and one of our representatives will assist you with your enquiry.

3 Easy ways to register

Online: www.londonpetroacademy.co.uk

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